CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

بنك أبوظبي الأول
FAB
First Abu Dhabi Bank

TABLE OF CONTENTS

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Independent Auditors' Report on Review of Condensed Consolidated Interim Financial Statements

To the Shareholders of First Abu Dhabi Bank P.J.S.C

Introduction

We have reviewed the accompanying 30 September 2022 condensed consolidated interim financial statements of First Abu Dhabi Bank P.J.S.C. ("the Bank") and its subsidiaries (collectively referred to as "the Group"), which comprises:

- the condensed consolidated interim statement of financial position as at 30 September 2022;
- the condensed consolidated interim statement of profit or loss for the three-month and nine-month periods ended 30 September 2022;
- the condensed consolidated interim statement of comprehensive income for the three-month and nine-month periods ended 30 September 2022;
- the condensed consolidated interim statement of changes in equity for the nine-month period ended 30 September 2022;
- the condensed consolidated interim statement of cash flows for the nine-month period ended 30 September 2022; and
- notes to the condensed consolidated interim financial statements.

Management is responsible for the preparation and presentation of this condensed consolidated interim financial statements in accordance with IAS 34, 'Interim Financial Reporting'. Our responsibility is to express a conclusion on this condensed consolidated interim financial statements based on our review.

Scope of Review

We conducted our review in accordance with the International Standard on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity". A review of condensed consolidated interim financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying 30 September 2022 condensed consolidated interim financial statements is not prepared, in all material respects, in accordance with IAS 34,'Interim Financial Reporting'.

KPMG Lower Gulf Limited

Richard Ackland
Registration No.: 1015
Abu Dhabi, United Arab Emirates

Date: 25 October 2022

بنك أبوظبي الأول
FAB
First Abu Dhabi Bank

Condensed consolidated interim statement of financial position

As at

Assets	Note	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Cash and balances with central banks	5	**274,523,418**	258,732,776
Investments at fair value through profit or loss	6	**34,521,926**	45,572,252
Due from banks and financial institutions		**26,372,488**	19,318,847
Reverse repurchase agreements		**58,399,997**	46,260,645
Derivative financial instruments		**64,467,292**	24,273,766
Loans, advances and Islamic financing	7	**465,399,640**	409,589,936
Non-trading investments	8	**163,092,774**	145,487,491
Investment properties	9	**7,493,511**	6,962,576
Property and equipment		**5,983,349**	5,965,261
Intangibles	10	**20,381,714**	20,535,134
Other assets		**25,719,050**	18,397,419
Total assets		**1,146,355,159**	1,001,096,103
Liabilities			
Due to banks and financial institutions	11	**74,798,264**	56,985,180
Repurchase agreements		**36,435,487**	55,074,494
Commercial paper	12	**22,017,968**	39,664,252
Derivative financial instruments		**67,064,877**	28,395,085
Customer accounts and other deposits	13	**745,797,090**	614,669,890
Term borrowings	14	**58,547,363**	71,643,816
Subordinated notes	15	**397,021**	448,908
Other liabilities		**28,814,437**	21,384,905
Total liabilities		**1,033,872,507**	888,266,530
Equity			
Share capital	16	**11,047,612**	10,920,000
Share premium		**53,557,581**	53,557,581
Treasury shares		**(6,505)**	(6,430)
Statutory and special reserves		**13,084,313**	10,920,000
Other reserves	16	**(2,052,035)**	3,569,185
Tier 1 capital notes	17	**10,754,750**	10,754,750
Share based payment		**249,816**	249,816
Retained earnings		**25,847,490**	22,849,243
Total equity attributable to shareholders of the Bank		**112,483,022**	112,814,145
Non-controlling interest		**(370)**	15,428
Total Equity		**112,482,652**	112,829,573
Total liabilities and equity		**1,146,355,159**	1,001,096,103

To the best of our knowledge, the financial statements present fairly in all material respects the financial condition, financial performance and cash flows of the Group as of, and for, the periods presented therein.

These condensed consolidated interim financial statements were approved by the Board of Directors and authorized for issue on 25 October 2022 and signed on its behalf:

Chairman — Group Chief Executive Officer — Group Chief Financial Officer

The notes 1 to 33 are an integral part of these condensed consolidated interim financial statements.

The independent auditors' report on review of condensed consolidated interim financial statements is set out on pages 2 and 3.

Condensed consolidated interim statement of profit or loss

For the period ended (unaudited)

	Note	Nine Month Period ended 30 Sep 2022 AED'000	Nine Month Period ended 30 Sep 2021 AED'000	Three Month Period ended 30 Sep 2022 AED'000	Three Month Period ended 30 Sep 2021 AED'000
Interest income		**17,478,930**	12,076,362	**8,050,346**	4,288,992
Interest expense		**(8,049,955)**	(4,164,942)	**(4,614,989)**	(1,405,327)
Net interest income		**9,428,975**	7,911,420	**3,435,357**	2,883,665
Income from Islamic financing and investing products		**1,444,927**	1,415,007	**364,451**	500,120
Distribution on Islamic deposits		**(696,667)**	(704,005)	**(147,301)**	(243,035)
Net income from Islamic financing and investing products		**748,260**	711,002	**217,150**	257,085
Total net interest income and income from Islamic financing and investing products		**10,177,235**	8,622,422	**3,652,507**	3,140,750
Fee and commission income		**3,003,986**	3,433,769	**895,318**	1,140,719
Fee and commission expense		**(905,583)**	(1,306,122)	**(271,674)**	(444,699)
Net fee and commission income		**2,098,403**	2,127,647	**623,644**	696,020
Net foreign exchange gain	19	**399,570**	896,870	**376,390**	362,263
Net gain on investments and derivatives	20	**2,085,033**	3,777,704	**815,349**	2,017,811
Other operating income	21	**168,477**	561,176	**25,618**	194,028
Operating income		**14,928,718**	15,985,819	**5,493,508**	6,410,872
Gain on disposal of stake in subsidiary and fair value gain on retained interest	22	**3,093,703**	-	**-**	-
Total income including gain on disposal of stake in subsidiary and fair value gain on retained interest		**18,022,421**	15,985,819	**5,493,508**	6,410,872
General, administration and other operating expenses	23	**(4,704,587)**	(4,356,946)	**(1,600,968)**	(1,586,762)
Profit before net impairment charge and taxation		**13,317,834**	11,628,873	**3,892,540**	4,824,110
Net impairment charge	24	**(1,733,303)**	(1,943,027)	**(694,147)**	(795,838)
Profit before taxation		**11,584,531**	9,685,846	**3,198,393**	4,028,272
Income tax expense		**(629,090)**	(469,918)	**(274,077)**	(170,867)
Profit for the period		**10,955,441**	9,215,928	**2,924,316**	3,857,405
Profit attributable to:					
Shareholders of the Bank		**10,948,735**	9,207,418	**2,922,704**	3,853,601
Non-controlling interests		**6,706**	8,510	**1,612**	3,804
		10,955,441	9,215,928	**2,924,316**	3,857,405
Basic earnings per share (AED)	25	**0.96**	0.81	**0.25**	0.34
Diluted earnings per share (AED)	25	**0.96**	0.81	**0.25**	0.34

The notes 1 to 33 are an integral part of these condensed consolidated interim financial statements.

The independent auditors' report on review of condensed consolidated interim financial statements is set out on pages 2 and 3.

Condensed consolidated interim statement of comprehensive income

For the period ended (unaudited)

	Nine Month Period ended 30 Sep		Three Month Period ended 30 Sep	
	2022 AED'000	2021 AED'000	**2022 AED'000**	2021 AED'000
Profit for the period	**10,955,441**	9,215,928	**2,924,316**	3,857,405
Other comprehensive income				
Items that are or may be reclassified subsequently to profit or loss				
Exchange difference on translation of foreign operations	**(704,685)**	(713,624)	**(258,375)**	1,577
Net change in fair value reserve during the period (including ECL)	**(4,937,486)**	(11,829)	**(1,394,591)**	(302,609)
Items that will not be reclassified to profit or loss				
Equity investments at fair value through other comprehensive income net change in the fair value	**(3,937)**	92,303	**(45,992)**	19,448
Re-measurement of defined benefit obligations	**6,913**	408	**1,941**	837
Other adjustments	**5,750**	-	**-**	-
Other comprehensive loss for the period	**(5,633,445)**	(632,742)	**(1,697,017)**	(280,747)
Total comprehensive income for the period	**5,321,996**	8,583,186	**1,227,299**	3,576,658
Comprehensive income attributable to:				
Shareholders of the Bank	**5,330,998**	8,917,678	**1,234,230**	3,573,599
Non-controlling interest	**(9,002)**	(334,492)	**(6,931)**	3,059
Total comprehensive income for the period	**5,321,996**	8,583,186	**1,227,299**	3,576,658

The notes 1 to 33 are an integral part of these condensed consolidated interim financial statements.
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Condensed consolidated interim statement of changes in equity

For the nine month period ended (unaudited)

	Share capital AED'000	Share premium AED'000	Treasury shares AED'000	Statutory and special reserves AED'000	Other reserves AED'000	Tier 1 capital notes AED'000	Share based payment AED'000	Retained earnings AED'000	Equity attributable to share-holders of the Bank AED'000	Non-controlling interest AED'000	Total AED'000
Balance at 1 January 2022	**10,920,000**	**53,557,581**	**(6,430)**	**10,920,000**	**3,569,185**	**10,754,750**	**249,816**	**22,849,243**	**112,814,145**	**15,428**	**112,829,573**
Profit for the period	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**10,948,735**	**10,948,735**	**6,706**	**10,955,441**
Other comprehensive (loss)/ income for the period	**-**	**-**	**-**	**-**	**(5,621,220)**	**-**	**-**	**3,483**	**(5,617,737)**	**(15,708)**	**(5,633,445)**
Transactions with owners of the Group											
Dividend for the year (net of treasury shares)	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(5,347,648)**	**(5,347,648)**	**(6,796)**	**(5,354,444)**
Scrip dividend for the year (note 16)	**127,612**	**-**	**(75)**	**2,164,313**	**-**	**-**	**-**	**(2,291,850)**	**-**	**-**	**-**
Payment on Tier 1 capital notes (note 17)	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(314,473)**	**(314,473)**	**-**	**(314,473)**
Balance at 30 September 2022	**11,047,612**	**53,557,581**	**(6,505)**	**13,084,313**	**(2,052,035)**	**10,754,750**	**249,816**	**25,847,490**	**112,483,022**	**(370)**	**112,482,652**
Balance at 1 January 2021	10,920,000	53,538,584	(8,980)	10,920,000	2,882,421	10,754,750	249,816	19,418,076	108,674,667	364,325	109,038,992
Profit for the period	-	-	-	-	-	-	-	9,207,418	9,207,418	8,510	9,215,928
Other comprehensive (loss) for the period	-	-	-	-	(290,148)	-	-	408	(289,740)	(343,002)	(632,742)
Transactions with owners of the Group											
Zakat	-	-	-	-	-	-	-	948	948	-	948
Treasury shares movements during the period (note 18)	-	13,037	1,720	-	-	-	-	-	14,757	-	14,757
Dividend for the year (net of treasury shares)	-	-	-	-	-	-	-	(8,074,594)	(8,074,594)	(13,485)	(8,088,079)
Payment on Tier 1 capital notes (note 17)	-	-	-	-	-	-	-	(294,222)	(294,222)	-	(294,222)
IFRS 9 reserve movement	-	-	-	-	160,134	-	-	(160,134)	-	-	-
Realised gain on sale of FVOCI investment	-	-	-	-	(5,046)	-	-	5,046	-	-	-
Balance at 30 September 2021	10,920,000	53,551,621	(7,260)	10,920,000	2,747,361	10,754,750	249,816	20,102,946	109,239,234	16,348	109,255,582

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Condensed consolidated interim statement of cash flows

For the nine month period ended (unaudited)

	Note	30 Sep 2022 AED'000	30 Sep 2021 AED'000
Cash flows from operating activities			
Profit before taxation		**11,584,531**	9,685,846
Adjustments for:			
Depreciation and amortisation		**788,449**	700,927
Gain on sale of investment property		**-**	(6,130)
Gain on sale of property and equipment		**(4,300)**	(501,059)
Gain on sale of a subsidiary	22	**(3,093,703)**	-
Net impairment charges		**1,943,326**	2,161,762
Accreted interest		**253,509**	533,734
Foreign currency translation adjustment		**(3,736,247)**	(1,156,696)
		7,735,565	11,418,384
Changes in:			
Investments at fair value through profit or loss		**11,104,168**	(19,198,173)
Due from central banks, banks and financial institutions		**(20,686,132)**	15,459,836
Reverse repurchase agreements		**(12,125,238)**	1,595,268
Loans, advances and Islamic financing		**(57,678,316)**	(12,003,336)
Other assets		**(5,293,454)**	929,209
Due to banks and financial institutions		**17,813,084**	749,636
Repurchase agreements		**(18,639,007)**	(6,964,697)
Customer accounts and other deposits		**131,421,718**	43,956,254
Derivative financial instruments		**(5,879,572)**	(2,946,549)
Other liabilities		**6,587,409**	1,252,812
		54,360,225	34,248,644
Income tax paid, net of recoveries		**(537,889)**	(431,659)
Directors' remuneration paid		**(45,000)**	(48,000)
Net cash from operating activities		**53,777,336**	33,768,985
Cash flows from investing activities			
Net movement in non-trading investments		**(21,771,764)**	(10,925,827)
Cash and cash equivalents of subsidiary acquired			5,596,549
Cash paid for acquisition of subsidiary			(2,203,800)
Net movement in investment property		**(530,935)**	(54,038)
Net movement in property and equipment		**(521,312)**	(339,404)
Net cash used in investing activities		**(22,824,011)**	(7,926,520)
Cash flows from financing activities			
Proceeds from issue of shares under share based payment		**-**	14,757
Dividend paid to shareholders of the Bank		**(5,327,828)**	(7,846,389)
Dividend paid to minority shareholders		**(6,796)**	(13,845)
Net movement of commercial paper		**(17,646,284)**	1,225,439
Issue of term borrowings		**7,765,567**	14,519,980
Repayment of term borrowings		**(13,284,847)**	(3,075,862)
Payment on Tier 1 capital notes		**(314,473)**	(294,222)
Net cash (used in) / from financing activities		**(28,814,661)**	4,529,858
Net increase in cash and cash equivalents		**2,138,664**	30,372,323
Cash and cash equivalents at 1 January	26	**272,814,120**	239,189,237
Cash and cash equivalents at 30 September	26	**274,952,784**	269,561,560

The notes 1 to 33 are an integral part of these condensed consolidated interim financial statements.
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Notes to the condensed consolidated interim financial statements

1 Legal status and principal activities

On 7 December 2016, Shareholders of National Bank of Abu Dhabi PJSC ("NBAD") and First Gulf Bank PJSC ("FGB") approved the merger of the two banks pursuant to Article 283(1) of UAE Federal Law No. 2 of 2015 Concerning Commercial Companies (the Law). The merger was effected through the issuance of 1.254 new NBAD shares for every 1 share in FGB on close of business 30 March 2017, subsequent to which FGB shares were delisted from Abu Dhabi Securities Exchange. On 25 April 2017, NBAD shareholders approved the proposal to change the name of the combined bank to 'First Abu Dhabi Bank' (the "Bank") and have its registered office in FAB Building, Khalifa Business Park 1 Al Qurum P. O. Box 6316 Abu Dhabi, United Arab Emirates.

These condensed consolidated interim financial statements as at and for the period ended 30 September 2022, comprise the Bank and its subsidiaries (together referred to as the "Group"). The Group is primarily engaged in corporate, retail, private and investment banking activities, management services, Islamic banking activities, real estate activities; and carries out its operations through its local and overseas branches, subsidiaries and representative offices located in the United Arab Emirates, Bahrain, Brazil, Cayman Islands, China, Egypt, France, Hong Kong, India, Indonesia, Jordan[1], Kingdom of Saudi Arabia, Kuwait, Lebanon[1], Libya, Malaysia, Oman, Qatar[2], Singapore, South Korea, Switzerland, the United Kingdom and the United States of America.

The Group's Islamic banking activities are conducted in accordance with Islamic Sharia'a laws issued by the Internal Shariah Supervision Committee ("ISSC").

The Group is listed on the Abu Dhabi Securities Exchange (Ticker: FAB).

The consolidated financial statements of the Group as at and for the year ended 31 December 2021 are available upon request from the Group's registered office or at http://www.bankfab.com

[1] Under closure.
[2] The Bank has notified the Qatar Financial Centre Regulatory Authority ("QFCRA") that it will relinquish its Qatar Financial Centre ("QFC") branch license and permanently close its QFC branch.

2 Statement of compliance

These condensed consolidated interim financial statements have been prepared on an ongoing basis in accordance with IAS 34 Interim Financial Reporting and the requirements of applicable laws in the UAE. They do not include all the information required for the complete set of annual consolidated financial statements as required under International Financial Reporting Standards ("IFRS"). These condensed consolidated interim financial statements should be read in conjunction with the consolidated financial statements of the Group as at and for the year ended 31 December 2021.

The Group is required, for the period ended 30 September 2022, to be in compliance with the provisions of the UAE Federal Law No. 2 of 2015, as amended. On 20 September 2021, the UAE Federal Decree Law No. 32 of 2021 was issued and came into effect on 2 January 2022 which repealed the UAE Federal Law No. 2 of 2015 (as amended). The Group has 12 months from 2 January 2022 to comply with the provisions of the UAE Federal Decree Law No 32 of 2021.

These condensed consolidated interim financial statements were authorised for issue by the Board of Directors on 25 October 22.

3 Significant accounting policies

The accounting policies applied by the Group in these condensed consolidated interim financial statements are the same as those applied by the Group in its consolidated financial statements as at and for the year ended 31 December 2021, except the adoption of the following new standards as of 1 January 2022.

The following amendments to existing standards and framework have been applied by the Group in preparation of these condensed consolidated interim financial statements. The adoption of the below did not result in changes to previously reported net profit or equity of the Group.

3 Significant accounting policies *(continued)*

Description	Effective from
Reference to the Conceptual Framework (Amendments to IFRS 3)	1 January 2022
Property, Plant and Equipment: Proceeds before Intended Use (Amendments to IAS 16)	1 January 2022
Onerous Contracts – Cost of Fulfilling a Contract (Amendments to IAS 37).	1 January 2022
First-time Adoption of International Financial Reporting Standards: Subsidiary as a first-time adopter (Annual improvements to IFRS 1)	1 January 2022
Financial Instruments: Fees in the '10 per cent' test for derecognition of financial liabilities (Annual improvements to IFRS 9)	1 January 2022
COVID-19-Related Rent Concessions beyond 30 June 2021 (Amendment to IFRS 16)	1 January 2022

Interest Rate Benchmark Reform:

A fundamental reform of major interest rate benchmarks is being undertaken globally, replacing some Interbank offered rates ("IBORs") with alternative risk-free benchmark reference rate ("RFRs"). The Group has significant exposure to certain IBORs on its financial instruments that are being reformed as part of these market-wide initiatives.

IBORs, such as the London Interbank Offered Rate ("LIBOR"), plays a critical role in global financial markets, serving as reference rates for derivatives, Loans, advances and Islamic financing, and as parameters in the valuation of financial instruments. It is primarily replaced by overnight RFRs, administered by local rate administrators .

On 5 March 2021, Financial Conduct Authority (FCA) has announced the future cessation or loss of representativeness dates of all LIBOR tenors across all currencies. FCA concluded that all Non-USD LIBOR (GBP, JPY, CHF and EUR) and selected tenors of USD LIBOR (1-week and 2-month) will either cease to exist or become non-representative after 31 December 2021, while remaining USD LIBOR tenors will continue till 30 June 2023. Global regulators had recommended Banks to cease issuance of new LIBOR linked products (including USD LIBOR) after 31 December 2021. Consistent with this announcement, as of 31 December 2021 a formal cessation was triggered for all GBP, EUR, CHF and JPY settings as well as the 1-week and 2-month USD LIBOR settings.

The Group continues to coordinate and oversee the transition from IBORs to RFRs with no significant changes to the project or transition risks disclosed in Note 45 (c) of the annual consolidated financial statements for the year ended 31 December 2021. The project plan continues to be on target and the Group continues to progress on its transition plan for the remaining USD LIBOR settings which will cease to be published immediately after 30 June 2023. The Group continue to monitor industry developments in this space and have also implemented controls to ensure new USD LIBOR trades are for permitted purposes only during this transition.

FAB's approach towards IBOR Transition

Loans, Bonds and other On Balance Sheet exposures

FAB initiated its IBOR transition project in 2019. The Project is sponsored by the Group CFO and is being led by senior representatives from functions across the Group including the client facing teams, Legal, Finance, Operations and Technology. The Group has maintained its momentum in tracking its exposure to IBORs, preparing its IT systems to accommodate the incoming Risk-Free Rates, amending, or preparing contractual templates and communicating its progress with both the Regulators and its clients. The Project provides monthly progress updates to the Project sponsors. The Group has successfully achieved the transition for a significant portion of its IBOR exposure to RFRs as of 31 December 2021 and has in place detailed plans, processes, and procedures to support the transition of the overnight, one-month, three-month, six-month and 12-month USD LIBOR settings before 30 June 2023.

For contracts indexed to an IBOR that mature after the expected cessation of the IBOR rate, the Group has established policies to amend the contractual terms. These amendments include the addition of fallback clauses or replacement of the IBOR rate with an alternative benchmark rate.

As at 30 September 2022, the IBOR reform in respect of currencies to which the Group has exposure has been largely completed. The table below sets out the IBOR rates that the Group had exposure to, the new benchmark rates to which these exposures have or are being transitioned, and the status of the transition.

3 Significant accounting policies *(continued)*

Interest Rate Benchmark Reform *(continued)*

FAB's approach towards IBOR Transition *(continued)*

Loans, Bonds and other On Balance Sheet exposures *(continued)*

Currency	Benchmark before Reform	Benchmark after Reform	30 Sep 2022	31 Dec 2021
GBP	GBP LIBOR	SONIA	Completed	Completed
USD	USD LIBOR	SOFR	In progress	In progress
EURO	EONIA	€STR	Completed	Completed
EURO	EURIBOR	EURIBOR reformed	Completed	Completed
JPY	JPY LIBOR	TONAR / TORF	Completed	Completed
CHF	CHF LIBOR	SARON	Completed	Completed

In line with the regulatory guidance, FAB will continue to actively transition LIBOR products to suitable alternatives where possible. However, if this is not achieved, those products will use synthetic LIBOR where applicable and until they are transitioned.

Derivatives and hedge accounting

The Group holds derivatives for trading and risk management purposes. Derivatives held for risk management purposes are designated in hedging relationships. The interest rate and cross-currency swaps have floating legs that are indexed to various IBORs. On 23 October 2020, International Swaps and Derivatives Association ('ISDA') reviewed its definitions in light of IBOR reform and issued an IBOR fallbacks supplement. This sets out how the amendments to new alternative benchmark rates (e.g. SOFR, SONIA) in the 2006 ISDA definitions will be accomplished. The effect of the supplement is to create fallback provisions in derivatives that describe what floating rates will apply on the permanent discontinuation of certain key IBORs or on ISDA declaring a non-representative determination of an IBOR.

The Group had adhered to the adoption of the ISDA protocol as a fallback provision, which came into effect in January 2021, and the successful changes made by clearing houses to discount derivatives using the euro short-term rate ('€STR') and SOFR, to reduce the risk of a disorderly transition of the derivatives market. If derivative counterparties also adhere to the protocol, then new fallbacks will be automatically implemented in existing derivative contracts. Consequently, the Group is monitoring whether its counterparties will also adhere to the protocol and, if there are counterparties that will not, then the Group plans to negotiate with them bilaterally about inclusion of new fallback clauses.

Hedging relationships impacted by uncertainty about IBOR reform may experience ineffectiveness attributable to market participants' expectations of when the shift from the existing IBOR benchmark rate to an alternative benchmark interest rate will occur. This transition may occur at different times for the hedged item and the hedging instrument, which may lead to hedge ineffectiveness.

The objective of the majority of these hedges and consistent with the overall interest rate risk management strategy of FAB is to reduce fluctuations of the fair value of bonds purchased by FAB or its own issuances which pay a fixed rate and also reduce fluctuations from foreign exchange risk if these are denominated in another currency that is not AED or USD.

Standard Issued but not yet effective

The following new standard and amendments to the standards are applicable to annual reporting periods beginning on or after 1 January 2023 and early application is permitted. The Group is currently evaluating the impact of the new standard and amendments to the standards and expects to adopt them on the effective date.

- Classification of Liabilities as Current or Non-current (Amendments to IAS 1).
- IFRS 17 Insurance Contracts and amendments to IFRS 17 Insurance Contracts.
- Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2).
- Definition of Accounting Estimates (Amendments to IAS 8).
- Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to IAS 12).
- Lease Liability in a Sale and Leaseback (Amendments to IFRS 16).

Notes to the condensed consolidated interim financial statements *(continued)*

3 Significant accounting policies *(continued)*

Basis of consolidation

Subsidiaries are investees that are controlled by the Group. The Group controls the investee if it meets the control criteria. The Group reassesses whether it has control if, there are changes to one or more of the elements of control. This includes circumstances in which protective rights held become substantive and lead to the Group having power over an investee. The financial statements of subsidiaries are included in these condensed consolidated interim financial statements from the date that control commences until the date that control ceases.

Profit or loss and each component of other comprehensive income ("OCI") are attributed to the equity holders of the Bank and to the non-controlling interests ("NCI"), even if this results in the NCI having a deficit balance.

The condensed consolidated interim financial statements comprise the financial statements of the Bank and those of its following subsidiaries:

Legal Name	Country of incorporation	Principal activities	Holding % 30 Sep 2022
First Abu Dhabi Bank USA N.V.	Curacao	Banking	100%
FAB Securities LLC	United Arab Emirates	Brokerage	100%
Abu Dhabi National Leasing LLC	United Arab Emirates	Leasing	100%
Abu Dhabi National Properties Pvt. JSC	United Arab Emirates	Property Management	100%
FAB Private Bank (Suisse) SA	Switzerland	Banking	100%
First Abu Dhabi Islamic Finance PJSC	United Arab Emirates	Islamic Finance	100%
Abu Dhabi Securities Brokerage Egypt[1]	Egypt	Brokerage	96%
NBAD Employee Share Options Limited	United Arab Emirates	Shares and Securities	100%
SAS 10 Magellan	France	Real Estate Brokerage	100%
National Bank of Abu Dhabi Representações Ltda	Brazil	Representative office	100%
FAB Global Markets (Cayman) Limited	Cayman Islands	Financial Institution	100%
Nawat Management Services - One Man Company LLC	United Arab Emirates	Services	100%
Mismak Properties Co. LLC (Mismak)	United Arab Emirates	Real estate investments	100%
Moora Properties Co. LLC (Subsidiary of Mismak)	United Arab Emirates	Real estate investments	67%
First Merchant International LLC (FMI)	United Arab Emirates	Real estate investments	100%
FAB Employment Services LLC (Subsidiary of FMI)	United Arab Emirates	Resourcing services	100%
FAB Resourcing Services LLC (Subsidiary of FMI)	United Arab Emirates	Resourcing services	100%
FAB Sukuk Company Limited	Cayman Islands	Special purpose vehicle	100%
First Gulf Libyan Bank[2]	Libya	Banking services	50%
FAB Properties LLC	United Arab Emirates	Management and brokerage of real estate properties	100%
First Gulf Information Technology LLC (FGIT)	United Arab Emirates	IT Services	100%
FAB Investment KSA (single Shareholder LLC)	Kingdom of Saudi Arabia	Financial Institution	100%
FAB Global Business Services Limited (Subsidiary of FGIT)	India	IT Services	100%
First Abu Dhabi Bank Misr (FAB Misr)	Egypt	Banking	100%

[1] Under liquidation.

[2] Although the Bank owns 50% of the outstanding shares of First Gulf Libyan Bank, the investment has been classified as a subsidiary as the Bank exercises control over the investee because it casts the majority of the votes on the board of directors.

Notes to the condensed consolidated interim financial statements *(continued)*

4 Use of estimates and judgements

The preparation of these condensed consolidated interim financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expense. Actual results may differ from these estimates.

In preparing these condensed consolidated interim financial statements, the significant judgements made by management in applying the Group's accounting policies and the key sources of estimation and uncertainty were the same as those that were applied to the consolidated financial statements as at and for the year ended 31 December 2021.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

5 Cash and balances with central banks

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Cash on hand	**1,892,795**	1,903,157
Central Bank of the UAE		
- cash reserve deposits	**29,520,590**	19,278,099
- other balances	**-**	21,000,000
Balances with other central banks	**243,291,033**	216,753,723
	274,704,418	258,934,979
Less: expected credit losses	**(181,000)**	(202,203)
	274,523,418	258,732,776

As per the UAE regulations, the Bank is allowed to draw their balances held in the UAE reserve account, while ensuring that they meet the reserve requirements over 14 days period. Balances with other central banks includes mandatory reserves which are available for day-to-day operations only under certain specified conditions.

6 Investments at fair value through profit or loss

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Investments in managed funds	**10,494**	12,480
Investment in private equities	**2,074,729**	2,165,377
Investments in equities	**1,403,965**	6,744,044
Debt securities	**31,032,738**	36,650,351
	34,521,926	45,572,252

Notes to the condensed consolidated interim financial statements *(continued)*

7 Loans, advances and Islamic financing

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Gross loans, advances and Islamic financing	**484,457,305**	428,840,162
Less: interest suspended	**(5,645,729)**	(5,400,613)
Less: expected credit losses	**(13,411,936)**	(13,849,613)
Net loans, advances and Islamic financing	**465,399,640**	409,589,936

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
By counterparty:		
Government sector	**56,229,208**	41,254,574
Public sector	**95,213,725**	96,109,500
Banking sector	**13,495,422**	11,700,842
Corporate / private sector	**242,007,624**	201,771,579
Personal / retail sector	**77,511,326**	78,003,667
Gross loans, advances and Islamic financing	**484,457,305**	428,840,162

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
By product:		
Overdrafts	**22,458,371**	27,806,101
Term loans	**388,266,855**	332,883,970
Trade related loans	**36,394,294**	29,252,435
Personal loans	**30,001,047**	31,127,570
Credit cards	**5,139,006**	5,458,971
Vehicle financing loans	**2,197,732**	2,311,115
Gross loans, advances and Islamic financing	**484,457,305**	428,840,162

Notes to the condensed consolidated interim financial statements *(continued)*

7 Loans, advances and Islamic financing *(continued)*

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Concentration by industry sector:		
Agriculture	**2,556,339**	1,533,714
Energy	**34,026,379**	37,916,788
Manufacturing	**22,422,115**	23,584,325
Construction	**12,068,325**	11,992,473
Real estate	**86,183,575**	93,387,686
Trading	**25,468,940**	25,374,643
Transport and communication	**42,720,765**	37,330,136
Banks	**13,495,422**	11,700,842
Other financial institutions	**77,112,270**	40,076,241
Services	**34,662,641**	26,685,073
Government	**56,229,208**	41,254,574
Personal – Loans and Credit cards	**50,890,346**	52,740,445
Personal - Retail Mortgage	**26,620,980**	25,263,222
Gross loans, advances and Islamic financing	**484,457,305**	428,840,162

Islamic financing

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Ijara	**11,848,434**	11,553,264
Murabaha	**26,676,328**	24,864,303
Others	**643,322**	485,158
Total Islamic financing contracts	**39,168,084**	36,902,725
Less: profit suspended	**(171,079)**	(154,038)
Less: expected credit losses	**(1,148,739)**	(1,053,769)
	37,848,266	35,694,918

8 Non-trading Investments

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Fair value through other comprehensive income:		
- with recycle to profit or loss (Debt Investments)	**155,765,713**	139,980,556
- without recycle to profit or loss (Equity Investments)	**987,734**	927,584
Amortised cost	**4,811,439**	4,504,205
Investment in associates and joint venture[1]	**1,528,374**	75,745
	163,093,260	145,488,090
Less: expected credit losses	**(486)**	(599)
	163,092,774	145,487,491

[1]Includes 40 % of retained interest in Magnati (note 22)

8 Non-trading Investments *(continued)*

An analysis of non-trading investments by type at the reporting date is shown below:

	(unaudited) 30 Sep 2022 AED'000			(audited) 31 Dec 2021 AED'000		
	Quoted	**Unquoted**	**Total**	Quoted	Unquoted	Total
Equity investments	**783,558**	**1,732,550**	**2,516,108**	722,426	280,903	1,003,329
Debt investments	**159,408,217**	**1,168,935**	**160,577,152**	143,500,790	983,971	144,484,761
	160,191,775	**2,901,485**	**163,093,260**	144,223,216	1,264,874	145,488,090
Less: expected credit losses	**(485)**	**(1)**	**(486)**	(597)	(2)	(599)
	160,191,290	**2,901,484**	**163,092,774**	144,222,619	1,264,872	145,487,491

Debt instruments under repurchase agreements included in non-trading investments at 30 September 2022 amounted to AED 23,775 million (31 December 2021: AED 30,956 million).

9 Investment properties

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Beginning of the period	**6,962,576**	7,603,230
Additions	**530,935**	134,081
Disposals	**-**	(24,735)
Fair value adjustment	**-**	(750,000)
End of the period	**7,493,511**	6,962,576

The fair value of the properties is based on the valuations performed by third party valuers as at 31 December 2021 and all are level 3 under fair value hierarchy.

10 Intangibles

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Goodwill[1]	**18,693,038**	18,693,038
Customer relationship	**1,778,055**	1,778,055
Core deposits	**704,336**	704,336
License	**368,700**	368,700
Brand	**22,000**	22,000
	21,566,129	21,566,129
Accumulated amortisation	**(1,184,415)**	(1,030,995)
	20,381,714	20,535,134

[1]includes goodwill arising from business combination (Note 32)

Notes to the condensed consolidated interim financial statements *(continued)*

11 Due to banks and financial institutions

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Banks and financial institutions	**40,664,597**	21,635,207
Central banks	**34,133,667**	35,349,973
	74,798,264	56,985,180

12 Commercial paper

The Bank has a Euro Commercial Paper programme with a limit of USD 3.5 billion and a US Dollar Commercial Paper programme with a limit of USD 10 billion.

The notes outstanding as at the end of the reporting date amounted to AED 22,018 million (31 December 2021: AED 39,664 million) and have maturity period of less than 12 months. The Group has not had any defaults of principal, interests or other breaches with respect to its Commercial Paper programmes during nine months period ended 30 September 2022.

13 Customer accounts and other deposits

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
By account:		
Current accounts	**285,649,277**	273,830,659
Savings accounts	**14,831,208**	14,026,161
Margin accounts	**2,662,632**	2,926,361
Notice and time deposits	**414,196,157**	275,304,837
	717,339,274	566,088,018
Certificates of deposit	**28,457,816**	48,581,872
	745,797,090	614,669,890
By counterparty:		
Government sector	**256,144,378**	171,768,336
Public sector	**93,284,624**	93,421,723
Corporate / private sector	**289,155,507**	198,830,708
Personal / retail sector	**78,754,765**	102,067,251
	717,339,274	566,088,018
Certificates of deposit	**28,457,816**	48,581,872
	745,797,090	614,669,890
Islamic Financing:		
Current account deposits	**2,250,016**	2,433,099
Margin Deposits	**73,354**	69,629
Mudaraba Saving Deposits	**3,852,235**	2,730,993
Mudaraba Term Deposits	**105,607**	160,907
Wakala Deposits	**6,883,263**	2,337,779
	13,164,475	7,732,407

14 Term borrowings

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
At amortised cost	**58,010,699**	71,023,959
At fair value through profit or loss	**536,664**	619,857
	58,547,363	71,643,816

During the period, the Bank has issued various fixed and floating rate notes. The movement of term borrowings during the period is below:

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Beginning of the period	**71,643,816**	62,437,103
New issuances	**7,765,567**	17,148,833
Redemptions	**(13,284,847)**	(5,827,560)
Fair valuation, exchange and other adjustments	**(7,577,173)**	(2,114,560)
End of the period	**58,547,363**	71,643,816

Notes to the condensed consolidated interim financial statements *(continued)*

14 Term borrowings *(continued)*

		30 Sep 2022 (unaudited)						31 Dec 2021 (audited)					
Currency	Interest	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Total AED'000
AED	Fixed rate of 4.00% to 4.20% p.a.	-	-	3,615	90,608	-	94,223	-	-	3,798	97,646	-	101,444
AUD	Fixed rate of 1.87% p.a.	-	-	-	136,725	-	136,725	-	-	-	168,699	-	168,699
AUD	3 month AUD BBSW + upto 3.028% p.a.	-	-	901,653	358,331	70,796	1,330,780	66,561	-	-	1,415,981	79,806	1,562,348
CHF	Fixed rate of 0.07% to 1.062% p.a.	-	737,349	1,262,960	2,830,325	500,166	5,330,800	-	806,370	2,209,207	1,400,629	1,604,442	6,020,648
CNH	Fixed rate of 3% to 4.1% p.a.	-	178,821	4,678,749	1,033,242	-	5,890,812	40,493	-	1,736,149	4,397,100	-	6,173,742
EUR	Fixed rate of 0.125% to 3.00% p.a.	-	-	423,619	4,031,798	124,341	4,579,758	-	-	102,075	3,469,870	228,214	3,800,159
GBP	Fixed rate of 0.875% to 2.205% p.a.	-	1,806,039	99,980	2,208,035	64,082	4,178,136	-	-	2,221,519	3,213,053	99,746	5,534,318
GBP	GBP SONIA CMP-5BD + 0.197 % p.a.	-	-	-	-	-	-	99,854	-	-	-	-	99,854
HKD	Fixed rate of 0.475% to 4.18% p.a.	-	535,022	676,576	644,054	-	1,855,652	223,593	300,386	697,116	940,310	194,157	2,355,562
JPY	Fixed rate of 0.235% to 2.60% p.a.	-	-	50,590	253,350	-	303,940	-	-	63,798	323,565	-	387,363
MXN	Fixed rate of 0.50% p.a.	-	-	-	-	7,717	7,717	-	-	-	-	7,434	7,434
PHP	Fixed rate of 3.80% p.a.	-	-	132,781	-	-	132,781	-	-	159,026	-	-	159,026
USD	Fixed rate up till 8.125% p.a.	205,744	5,427,168	9,178,599	3,951,199	4,809,978	23,572,688	6,993,272	498,150	11,964,749	6,507,704	6,280,335	32,244,210
USD	3 Month LIBOR + till 3.641% p.a.	-	1,764,453	4,830,362	1,247,553	183,650	8,026,018	495,855	4,109,023	5,860,341	1,983,468	183,650	12,632,337
USD	USD SOFR QRT OB SHIFT -5BD + 0.049 % to 3.304%	-	-	183,638	2,923,695	-	3,107,333	-	-	183,638	213,034	-	396,672
		205,744	10,448,852	22,423,122	19,708,915	5,760,730	58,547,363	7,919,628	5,713,929	25,201,416	24,131,059	8,677,784	71,643,816

Notes to the condensed consolidated interim financial statements *(continued)*

15 Subordinated notes

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
10 December 2012 issue *(4.75 percent fixed rate maturing on 9 December 2027)*	**397,021**	448,908

The Bank has hedged the interest rate and foreign currency exposure on the subordinated notes. The Bank has not had any defaults of principal, interests, or other breaches with respect to its subordinated notes during the nine months period ended 30 September 2022.

16 Capital and reserves

Share Capital

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Authorised share capital	**11,047,612**	10,920,000
Ordinary shares of AED 1 each	**11,047,612**	10,920,000
Treasury shares of AED 1 each	**6,505**	6,430

At the Annual General Meeting (AGM) held on 28 February 2022, the shareholders of the Bank approved a cash dividend of AED 0.49 per ordinary share amounting to AED 5,351 million and a scrip dividend of AED 0.21 per ordinary share amounting to AED 2,293 million (31 December 2020: cash dividend of AED 0.74 per ordinary share amounting to AED 8,080 million).

Other reserves

	Fair value reserve AED'000	General reserve AED'000	Foreign currency translation reserve AED'000	IFRS 9 reserve - specific AED'000	IFRS 9 reserve – collective AED'000	Total AED'000
As at 1 January 2022	**1,366,215**	**228,265**	**(535,023)**	**1,221,969**	**1,287,759**	**3,569,185**
Other comprehensive loss for the period	**(4,932,243)**	**-**	**(688,977)**	**-**	**-**	**(5,621,220)**
Balance at 30 September 2022	**(3,566,028)**	**228,265**	**(1,224,000)**	**1,221,969**	**1,287,759**	**(2,052,035)**
As at 1 January 2021	1,168,389	228,265	(377,851)	1,220,996	642,622	2,882,421
Other comprehensive income/ (loss) for the period	80,474	-	(370,622)	-	-	(290,148)
IFRS 9 reserve movement	-	-	-	973	159,161	160,134
Realised gain / (loss) on sale of FVOCI Investment	(5,046)	-	-	-	-	(5,046)
Balance at 30 September 2021	1,243,817	228,265	(748,473)	1,221,969	801,783	2,747,361

17 Tier 1 capital notes

	Currency	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Government of Abu Dhabi Notes (6 month EIBOR plus 2.3 percent per annum)	AED	**8,000,000**	8,000,000
USD 750 million Notes (4.50 percent fixed rate per annum, thereafter reset on the first date and every sixth anniversary thereafter on the basis of the aggregate of the margin and the relevant six year reset on the relevant U.S. Securities determination date)	USD	**2,754,750**	2,754,750
		10,754,750	10,754,750

Tier 1 capital notes are perpetual, subordinated, unsecured and carry coupons to be paid semi-annually in arrears. The Bank may elect not to pay a coupon at its own discretion. The note holder does not have a right to claim the coupon and an election by the Bank not to service coupon is not considered an event of default. In addition, there are certain circumstances under which the Bank is prohibited from making a coupon payment on a relevant coupon payment date.

If the Bank makes a non-payment election or a non-payment event occurs, then the Bank will not (a) declare or pay any distribution or dividend or (b) redeem, purchase, cancel, reduce or otherwise acquire any of the share capital or any securities of the Bank ranking pari passu with or junior to the notes except securities, the term of which stipulate a mandatory redemption or conversion into equity, in each case unless or until two consecutive coupon payments have been paid in full.

During the period, the coupon payment election was made by the Bank amounting to AED 314,473 thousand (30 September 2021: AED 294,222 thousand).

18 Share based payment

The Group had introduced in 2008 a share based payment scheme (the "Scheme") for selected employees which would vest over three years and can be exercised within the next three years after the vesting period. The key vesting condition is that the option holder is in continued employment with the Bank until the end of the vesting period. The options lapse six years after their date of grant irrespective of whether they are exercised or not.

The Group established a subsidiary to issue shares when the vested option is exercised by the employee. These shares are treated as treasury shares until exercised by the option holders.

During the period, no shares (30 September 2021: 1,720 thousand) have been awarded, therefore reallocated from treasury shares held to share capital by AED nil (30 September 2021: AED 1,720 thousand) and share premium has been adjusted by AED nil (30 September 2021: AED 13,037 thousand) accordingly relating to this.

19 Net foreign exchange gain

	(unaudited) Nine month period ended 30 Sep 2022 AED'000	(unaudited) Nine month period ended 30 Sep 2021 AED'000	(unaudited) Three month period ended 30 Sep 2022 AED'000	(unaudited) Three month period ended 30 Sep 2021 AED'000
Trading and retranslation (loss)/gain on foreign exchange and related derivatives[1,2]	**(400,964)**	348,518	**111,028**	151,407
Dealings with customers	**800,534**	548,352	**265,362**	210,856
	399,570	896,870	**376,390**	362,263

[1] Due to effective hedging strategies, the offsetting impact of hedging instruments is reflected in the net gains from sale of non-trading investments.

[2] Includes negative interest income of AED 91 million (30 September 2021: AED 368 million) arising from placement with ECB.

20 Net gain on investments and derivatives

	(unaudited) Nine month period ended 30 Sep 2022 AED'000	(unaudited) Nine month period ended 30 Sep 2021 AED'000	(unaudited) Three month period ended 30 Sep 2022 AED'000	(unaudited) Three month period ended 30 Sep 2021 AED'000
Net realised and unrealised gain on investments at fair value through profit or loss and derivatives	**1,991,158**	2,963,689	**866,432**	1,977,091
Net gain/(loss) from sale of non-trading investments	**54,922**	796,531	**(64,556)**	41,657
Dividend & other investment income / (loss)	**38,953**	17,484	**13,473**	(937)
	2,085,033	3,777,704	**815,349**	2,017,811

21 Other operating income

	(unaudited) Nine month period ended 30 Sep 2022 AED'000	(unaudited) Nine month period ended 30 Sep 2021 AED'000	(unaudited) Three month period ended 30 Sep 2022 AED'000	(unaudited) Three month period ended 30 Sep 2021 AED'000
Investment property income	**329**	6,511	**156**	4,977
Leasing related income	**112,039**	94,033	**33,425**	31,999
Gain on sale of property and equipment	**4,300**	501,059	**861**	206,761
Other income / (loss)	**51,809**	(40,427)	**(8,824)**	(49,709)
	168,477	561,176	**25,618**	194,028

Notes to the condensed consolidated interim financial statements *(continued)*

22 Gain on disposal of stake in subsidiary and fair value gain on retained interest

On 25 February 2022, the Group entered into a sale and purchase agreement (SPA) with BCP V Growth Aggregator LP ("Purchaser") whereby the Bank has agreed to sell its controlling stake of 60% of its wholly owned subsidiary, Magnati Sole Proprietorship LLC "Magnati" to the Purchaser. The Bank has recorded a gain of AED 3.1 billion within the results for the nine months ended as of 30 September 2022 based on this sale.

23 General, administration and other operating expenses

	(unaudited) Nine month period ended 30 Sep 2022 AED'000	(unaudited) Nine month period ended 30 Sep 2021 AED'000	**(unaudited) Three month period ended 30 Sep 2022 AED'000**	(unaudited) Three month period ended 30 Sep 2021 AED'000
Staff costs	**2,320,015**	2,246,425	**776,399**	788,263
Other general and administration expenses	**1,558,951**	1,360,878	**546,267**	509,035
Depreciation	**635,029**	550,423	**217,661**	221,115
Amortisation on intangibles	**153,420**	150,504	**49,996**	50,719
Sponsorships and donations	**37,172**	48,716	**10,645**	17,630
	4,704,587	4,356,946	**1,600,968**	1,586,762

24 Net impairment charge

	(unaudited) Nine month period ended 30 Sep 2022 AED'000	(unaudited) Nine month period ended 30 Sep 2021 AED'000	**(unaudited) Three month period ended 30 Sep 2022 AED'000**	(unaudited) Three month period ended 30 Sep 2021 AED'000
Impairment charge/(reversal) on				
loans, advances and Islamic financing	**1,858,285**	1,686,879	**719,153**	643,705
other financial assets	**(41,338)**	(25,639)	**(26,550)**	(44,967)
unfunded exposure	**(7,741)**	308,038	**46,225**	206,730
other non-financial instruments	**5,342**	-	**-**	-
Recoveries	**(210,023)**	(218,735)	**(78,084)**	(58,793)
Write-off of impaired financial assets	**128,778**	192,484	**33,403**	49,163
	1,733,303	1,943,027	**694,147**	795,838

25 Earnings per share

Earnings per share is calculated by dividing the net profit for the period after deduction of Tier 1 capital notes payment by the weighted average number of ordinary shares in issue during the period as set out below:

	(unaudited) Nine month period ended 30 Sep 2022	(unaudited) Nine month period ended 30 Sep 2021	(unaudited) Three month period ended 30 Sep 2022	(unaudited) Three month period ended 30 Sep 2021
Basic earnings per share:				
Net profit for the period (AED'000)	**10,948,735**	9,207,418	**2,922,704**	3,853,601
Less: payment on Tier 1 capital notes (AED'000)	**(314,473)**	(294,222)	**(136,832)**	(112,522)
Net profit after payment of Tier 1 capital notes (AED'000)	**10,634,262**	8,913,196	**2,785,872**	3,741,079
Weighted average number of ordinary shares:				
Number of shares issued / deemed to be outstanding at the beginning of the period ('000)	**10,913,570**	10,911,020	**11,041,107**	11,039,229
Effect due to Scrip Dividend issued during the period ('000)	**127,537**	127,537	**-**	-
Weighted average number of shares exercised under the share based payment scheme ('000)	**-**	1,013	**-**	18
Weighted average number of ordinary shares ('000)	**11,041,107**	11,039,570	**11,041,107**	11,039,247
Basic earnings per share (AED)	**0.96**	0.81	**0.25**	0.34
Diluted earnings per share:				
Net profit for the period for calculating diluted earning per share (AED'000)	**10,634,262**	8,913,196	**2,785,872**	3,741,079
Weighted average number of ordinary shares ('000)	**11,041,107**	11,039,570	**11,041,107**	11,039,247
Weighted average number of dilutive shares under share based payment scheme ('000)	**-**	829	**-**	514
Weighted average number of ordinary shares in issue for diluted earnings per share ('000)	**11,041,107**	11,040,399	**11,041,107**	11,039,761
Diluted earnings per share (AED)	**0.96**	0.81	**0.25**	0.34

Notes to the condensed consolidated interim financial statements *(continued)*

26 Cash and cash equivalents

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Cash and balances with Central Banks	**274,704,418**	258,934,979
Due from banks and financial institutions	**26,438,663**	19,383,306
	301,143,081	278,318,285
Less: Balances with Central Banks maturing after three months of placement	**(1,319,112)**	(5,384,239)
Less: Due from banks and financial institutions maturing after three months of placement	**(24,871,185)**	(119,926)
	274,952,784	272,814,120

Cash and cash equivalents include notes and coins on hand, unrestricted balances held with Central banks and highly liquid financial assets with original maturities of three months or less from the date of its acquisition.

27 Commitments and contingencies

The Group, in the ordinary course of business, enters into various types of transactions that involve undertaking certain commitments such as letters of credit, guarantees and undrawn loan commitments.

There were no other significant changes in contingent liabilities and commitments during the period other than those arising out of normal course of business.

	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Letter of credit	**52,638,407**	63,589,462
Letters of guarantees	**98,214,745**	101,353,201
Financial guarantees	**578,923**	293,459
Irrevocable undrawn commitments	**70,444,431**	51,407,472
Private equity commitments	**1,594,068**	1,291,544
	223,470,574	217,935,138

28 Segmental information

The operating structure consists of four key Business segments across geographies that are driving the business strategy, customer value propositions, products and channel development and customer relationships in addition to supporting the delivery of the Group's financial performance.

During 2021, the Group reorganized its business model so that Corporate & Investment Banking and Personal Banking groups had been re-segmented into four distinct business lines: Investment Banking, Corporate & Commercial Banking, Consumer Banking and Global Private Banking. This will reposition the Group's businesses to be more customer centric and enable specialist product and service propositions aligned to the respective customer bases the Group services to drive competitive advantage and enhance revenue generation capabilities.

Business segments

Investment Banking ("IB")
IB offers banking and financing solutions, including corporate & Islamic finance, capital markets, transaction banking, trade, liquidity and cash management services along with a broad range of risk management solutions across credit, rates, FX and money market products. Focused on Institutional clients, IB team enhances product delivery and specialization across various customer sectors which includes Government, Sovereign & Public Sector, Sovereign Wealth Fund & Financial Sponsors, Natural Resources, Global Diversified Industrials, Financial Institutions Group & Global Subsidiaries.

Corporate & Commercial ("CCB")
CCB focuses on large corporates, medium and small entities with diversified products offering across sub segments which includes Corporate Banking, Contracting, Commercial Banking and Privileged Client Group.

Consumer Banking ("CB")
The business targets consumer & elite segment across conventional and Islamic sector. The products' ranges offered include everyday banking products such as current accounts, deposits, credit cards, loans, wealth products, etc. The business furnishes variety of distribution and sales channels, including mobile and internet banking, branches, direct sales agents and through its banking subsidiaries namely First Abu Dhabi Islamic Finance.

Global Private Banking ("GPB")
The business targets affluent and high net-worth customers across conventional and Islamic sector. The products' ranges offered include everyday banking products plus sophisticated investment solutions, brokerage and securities services. The business furnishes variety of distribution and sales channels, including mobile and internet banking, branches, relationship managers and through its banking subsidiaries including FAB Securities.

Head office ("HO")
The Group provides centralized human resources, information technology, operations, finance, strategy, investor relations, risk management, credit management, corporate communications, legal & compliance, internal audit, procurement, treasury operations and administrative support to all of its business units.

HO also includes a diversified business model supported by complementary offerings provided across real estate, property management services through subsidiaries partially or fully owned by the Group, namely FAB Properties, Abu Dhabi National Properties and Mismak.

Geographic segments

The Group is managing its various business segments through a network of branches, subsidiaries and representative offices within the two defined geographic segments which are UAE and International.

Notes to the condensed consolidated interim financial statements *(continued)*

28 Segmental information *(continued)*

	Business Segment						Geographic Segment		
	Investment Banking	Corporate and Commercial Banking Group	Consumer Banking	Global Private Banking	Head Office	Total	UAE	International	Total
For the nine month period ended 30 September 2022 (unaudited)									
Net interest income and income from Islamic financing and investing products	3,678,521	2,414,662	2,815,516	571,424	697,112	10,177,235	7,911,103	2,266,132	10,177,235
Net non-interest income	2,667,079	1,129,253	424,067	190,298	340,786	4,751,483	3,786,015	965,468	4,751,483
Operating income	6,345,600	3,543,915	3,239,583	761,722	1,037,898	14,928,718	11,697,118	3,231,600	14,928,718
Gain on disposal of stake in subsidiary and fair value gain on retained interest	-	-	3,093,703	-	-	3,093,703	3,093,703	-	3,093,703
Total Income including gain on disposal of stake in subsidiary and fair value gain on retained interest	6,345,600	3,543,915	6,333,286	761,722	1,037,898	18,022,421	14,790,821	3,231,600	18,022,421
General administration and other operating expenses	1,294,634	785,189	1,675,308	293,015	656,441	4,704,587	3,465,251	1,239,336	4,704,587
Net impairment charge/(reversal)	320,729	1,199,296	226,200	(11,505)	(1,417)	1,733,303	1,142,304	590,999	1,733,303
Profit before taxation	4,730,237	1,559,430	4,431,778	480,212	382,874	11,584,531	10,183,266	1,401,265	11,584,531
Income tax expense	395,698	52,843	(2,278)	29,177	153,650	629,090	141,623	487,467	629,090
Net profit for the period	4,334,539	1,506,587	4,434,056	451,035	229,224	10,955,441	10,041,643	913,798	10,955,441
As at 30 September 2022 (unaudited)									
Segment total assets	808,798,532	158,633,761	69,668,252	27,848,502	104,440,335	1,169,389,382	911,954,036	431,297,883	1,343,251,919
Inter segment balances						(23,034,223)			(196,896,760)
Total assets						1,146,355,159			1,146,355,159
Segment total liabilities	718,526,309	127,523,742	79,342,381	30,760,377	100,753,921	1,056,906,730	822,327,378	408,441,889	1,230,769,267
Inter segment balances						(23,034,223)			(196,896,760)
Total liabilities						1,033,872,507			1,033,872,507

Notes to the condensed consolidated interim financial statements *(continued)*

28 Segmental information *(continued)*

	Business Segment						Geographic Segment		
	Investment Banking AED'000	Corporate and commercial Banking Group AED'000	Consumer Banking AED'000	Global Private Banking AED'000	Head Office	Total AED'000	UAE AED'000	International	Total AED'000
For the nine month period ended 30 September 2021 (unaudited)									
Net interest income and income from Islamic financing and investing products	3,347,591	1,663,970	3,009,487	553,450	47,924	8,622,422	6,409,641	2,212,781	8,622,422
Net non-interest income	5,105,633	889,742	627,031	161,910	579,081	7,363,397	6,826,660	536,737	7,363,397
Operating income	8,453,224	2,553,712	3,636,518	715,360	627,005	15,985,819	13,236,301	2,749,518	15,985,819
General administration and other operating expenses	1,139,709	710,742	1,726,129	253,731	526,635	4,356,946	3,306,402	1,050,544	4,356,946
Net impairment charge	75,467	1,102,218	682,017	31,103	52,222	1,943,027	1,675,626	267,401	1,943,027
Profit / (loss) before taxation	7,238,048	740,752	1,228,372	430,526	48,148	9,685,846	8,254,273	1,431,573	9,685,846
Income tax expense	318,694	39,522	(2,146)	29,905	83,943	469,918	69,546	400,372	469,918
Net profit/(loss) for the period	6,919,354	701,230	1,230,518	400,621	(35,795)	9,215,928	8,184,727	1,031,201	9,215,928
As at 31 December 2021 (audited)									
Segment total assets	684,565,177	113,621,822	76,573,662	31,986,009	119,724,951	1,026,471,621	767,229,128	377,884,176	1,145,113,304
Inter segment balances						(25,375,518)			(144,017,201)
Total assets						1,001,096,103			1,001,096,103
Segment total liabilities	587,568,708	139,858,237	61,846,753	24,933,050	99,435,300	913,642,048	677,590,893	354,692,838	1,032,283,731
Inter segment balances						(25,375,518)			(144,017,201)
Total liabilities						888,266,530			888,266,530

Notes to the condensed consolidated interim financial statements *(continued)*

29 Related parties

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions. Related parties comprise major shareholder, directors and key management personnel of the Group. Key management personnel comprise those executive committee members "EXCO" of the Group who are involved in the strategic planning and decision making of the Group. The terms of these transactions are approved by the Group's management and are made on terms agreed by the Board of Directors or management.

FAB operates in a market dominated by entities directly or indirectly controlled by the Government of Abu Dhabi through its government authorities, agencies, affiliations and other organizations, collectively referred to as government-related entities. FAB has transactions with other government-related entities and these transactions are conducted in the ordinary course of FAB's business on terms agreed by the Board.

	30 Sep 2022 (unaudited)					31 Dec 2021 (audited)
	Board of directors AED'000	Major shareholders AED'000	Senior Management AED'000	Associates AED'000	Total AED'000	Total AED'000
Balances with related parties at the reporting date are shown below:						
Financial assets	**11,515,539**	**34,749,750**	**61,487**	**1,046,585**	**47,373,361**	34,282,642
Financial liabilities	**15,074,257**	**32,083,091**	**34,418**	**514,629**	**47,706,395**	57,779,565
Contingent liabilities	**321,548**	**8,904,164**	**-**	**184**	**9,225,896**	21,702,546

Transactions carried out during the nine month period with related parties are shown below:

	Board of directors AED'000	Major shareholders AED'000	Senior Management AED'000	Associates AED'000	Total AED'000	30 Sep 2021 (unaudited)
Interest & other income	**276,465**	**519,218**	**1,022**	**23,508**	**820,213**	672,329
Interest expense & other expenses	**146,135**	**155,087**	**257**	**62,849**	**364,328**	266,190

The details of the key management personnel remuneration is as below:

	(unaudited) 30 Sep 2022 AED'000	(unaudited) 30 Sep 2021 AED'000
Salaries and other benefits	**41,008**	45,856

No ECL has been charged during the nine months period on the related party balances.

30 Financial risk management

Credit risk

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and cause the Group to incur a financial loss. It arises principally from the Group's loans, advances and Islamic financing, due from banks and financial institutions, reverse repurchase agreements and non-trading debt investments, derivative financial instruments and certain other assets.

COVID-19 and Expected Credit Loss (ECL)

On 11 March 2020, the World Health Organization ("WHO") officially declared COVID-19 a global pandemic. In light of the rapid spread of COVID-19 across the globe, various economies and sectors have faced significant disruptions and uncertainty and governments and authorities have instigated a host of measures to contain or delay the spread of the virus.

In line with other global regulators, the Central Bank of the UAE ("CBUAE"), under the Targeted Economic Support Scheme ("TESS"), had facilitated the provision of temporary relief from the payments or deferral of principal and/or interest / profit on outstanding loans for all affected private sector corporates, SMEs and individuals with specific conditions.

CBUAE phased out the deferrals under TESS by end of 31 December 2021, however, it had extended the relief granted under TESS for capital, liquidity and stable funding requirements, to all banks operating in the UAE, from 31 December 2021 to 30 June 2022.

The Group continues to closely monitor the impact of COVID-19 on the Bank's portfolio.

Notes to the condensed consolidated interim financial statements *(continued)*

30 Financial risk management (continued)

Credit risk *(continued)*

The Group measures its exposure to credit risk by reference to the gross carrying amount of financial assets less amounts offset, interest suspended and impairment losses, if any. The carrying amount of financial assets represents the maximum credit exposure.

As at 30 September 2022 (unaudited)	Stage 1		Stage 2		Stage 3		Purchased or originally credit impaired[4]		Total	
	Exposure AED'000	Provision AED'000	Exposure AED'000	Provision AED'000	Exposure AED'000	Provision AED'000	Exposure AED'000	Provision AED'000	Exposure AED'000	Provision AED'000
Balances with central Banks	271,724,529	62,940	1,087,094	118,060	-	-	-	-	272,811,623	181,000
Due from banks and financial institutions	25,312,816	25,557	1,125,847	40,618	-	-	-	-	26,438,663	66,175
Reverse repurchase agreements	58,413,243	13,246	-	-	-	-	-	-	58,413,243	13,246
Loans, advances and Islamic financing[1]	446,233,842	1,397,271	16,053,889	3,719,944	17,307,076	7,363,273	4,862,498	931,448	484,457,305	13,411,936
Non-trading investments										
Amortised cost	4,811,439	486	-	-	-	-	-	-	4,811,439	486
FVOCI Debt[2]	155,658,133	90,719	107,580	6,650	-	-	-	-	155,765,713	97,369
Other assets[3]	16,036,480	191,478	8,355	629	678	418	-	-	16,045,513	192,525
Unfunded exposure	215,806,370	124,577	4,955,426	245,776	1,103,859	451,663	10,851	9,655	221,876,506	831,671
	1,193,996,852	1,906,274	23,338,191	4,131,677	18,411,613	7,815,354	4,873,349	941,103	1,240,620,005	14,794,408

[1]The exposure represents gross loans, advances and Islamic financing.
[2]The provision against financial instruments classified as FVOCI is included in the fair value reserve.
[3]On certain assets included as part of other assets, ECL is computed based on simplified approach and reported as part of stage 1.
[4]The Group, from an internal credit quality point of view, considers AED 4,672 million as par to non-performing loans, advances and Islamic financing.

Notes to the condensed consolidated interim financial statements *(continued)*

30 Financial risk management *(continued)*

Credit risk *(continued)*

As at 31 December 2021 (audited)	Stage 1		Stage 2		Stage 3		Purchased or originally credit impaired[4]		Total	
	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision
Balances with central banks	255,536,059	84,139	1,495,763	118,064	-	-	-	-	257,031,822	202,203
Due from banks and financial institutions	18,508,590	23,822	874,716	40,637	-	-	-	-	19,383,306	64,459
Reverse repurchase agreements	46,288,005	27,360	-	-	-	-	-	-	46,288,005	27,360
Loans, advances and Islamic financing[1]	388,015,124	1,800,998	18,324,871	3,488,808	16,807,188	7,531,428	5,692,979	1,028,379	428,840,162	13,849,613
Non-trading investments										
Amortised cost	4,504,205	599	-	-	-	-	-	-	4,504,205	599
FVOCI Debt[2]	139,907,615	101,389	72,941	7,522	-	-	-	-	139,980,556	108,911
Other assets[3]	13,205,066	192,895	344,746	1,222	667	399	-	-	13,550,479	194,516
Unfunded exposure	210,751,733	156,080	4,694,926	255,848	1,188,949	421,352	7,986	10,512	216,643,594	843,792
	1,076,716,397	2,387,282	25,807,963	3,912,101	17,996,804	7,953,179	5,700,965	1,038,891	1,126,222,129	15,291,453

[1]The exposure represents gross loans, advances and Islamic financing.
[2]The provision against financial instruments classified as FVOCI is included in the fair value reserve.
[3]On certain assets included as part of other assets, ECL is computed based on simplified approach and reported as part of stage 1.
[4]The Group, from an internal credit quality point of view, considers AED 5,563 million as par to non-performing loans, advances and Islamic financing.

Notes to the condensed consolidated interim financial statements *(continued)*

30 Financial risk management *(continued)*

Credit risk *(continued)*

The movement in the allowance for impairment during the period is shown below:

	(unaudited) Nine month period ended 30 Sep 2022 AED'000	(unaudited) Nine month period ended 30 Sep 2021 AED'000
Beginning of the period	**15,291,453**	13,601,664
Increase due to acquisition / PPA	**-**	1,266,478
Net charge for impairment of financial instruments	**1,809,206**	1,969,278
Amounts written off and other adjustment	**(2,306,251)**	(1,694,657)
	14,794,408	15,142,763

The Group's credit concentration by counterparty for trading securities and non-trading investments are disclosed below:

	Investments at fair value through profit or loss		Non-trading investments	
	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
Government sector	**28,330,655**	28,835,932	**114,606,403**	93,966,491
Supranational	**750,257**	2,065,942	**736,788**	634,136
Public sector	**505,293**	737,753	**12,715,095**	15,337,453
Banking sector	**1,778,469**	4,461,755	**25,414,854**	28,062,492
Corporate / private sector	**3,157,252**	9,470,870	**9,620,120**	7,487,518
	34,521,926	45,572,252	**163,093,260**	145,488,090
Less: allowance for impairment (expected credit loss) on amortised cost securities	**-**	-	**(486)**	(599)
	34,521,926	45,572,252	**163,092,774**	145,487,491

Notes to the condensed consolidated interim financial statements *(continued)*

30 Financial risk management *(continued)*

Credit risk *(continued)*

The external ratings for trading securities and non-trading investments are disclosed below:

	Investments at fair value through profit or loss		Non-trading investments	
	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000	(unaudited) 30 Sep 2022 AED'000	(audited) 31 Dec 2021 AED'000
AAA	**68,647**	722,673	**42,971,615**	30,281,925
AA to A	**20,505,703**	17,189,979	**77,595,354**	79,096,748
BBB and below	**9,826,819**	17,725,908	**37,884,421**	32,414,292
CCC and below	**7,642**	82,479	**90,632**	142,508
Unrated	**4,113,115**	9,851,213	**4,551,238**	3,552,617
	34,521,926	45,572,252	**163,093,260**	145,488,090
Less: allowance for impairment (expected credit loss) on amortised cost securities	**-**	-	**(486)**	(599)
	34,521,926	45,572,252	**163,092,774**	145,487,491

Investments at fair value through profit or loss include investments in equity instruments and private equity funds which do not carry credit risk (refer Note 6).

31 Financial assets and liabilities

Financial instruments measured at fair value - hierarchy

The table below analyses financial instruments measured at fair value at the end of the reporting period, by the level in the fair value hierarchy into which the fair value measurement is categorised:

	Level 1 AED'000	Level 2 AED'000	Level 3 AED'000	Total AED'000
As at 30 September 2022 (unaudited)				
Investment at fair value through profit or loss	**2,416,181**	**26,044,904**	**6,060,841**	**34,521,926**
FVOCI - with recycle to profit or loss	**108,962,154**	**44,039,226**	**2,764,333**	**155,765,713**
FVOCI - without recycle to profit or loss	**762,370**	**21,188**	**204,176**	**987,734**
Derivative financial instruments (Assets)	**366,421**	**64,099,114**	**1,757**	**64,467,292**
	112,507,126	**134,204,432**	**9,031,107**	**255,742,665**
Term borrowings	**-**	**536,664**	**-**	**536,664**
Derivative financial instruments (Liabilities)	**980,328**	**66,082,267**	**2,282**	**67,064,877**
	980,328	**66,618,931**	**2,282**	**67,601,541**

Notes to the condensed consolidated interim financial statements *(continued)*

31 Financial assets and liabilities *(continued)*

Financial instruments measured at fair value - hierarchy *(continued)*

	Level 1 AED'000	Level 2 AED'000	Level 3 AED'000	Total AED'000
As at 31 December 2021 (audited)				
Investment at fair value through profit or loss	9,022,529	27,921,612	8,628,111	45,572,252
FVOCI - with recycle to profit or loss	107,011,926	30,680,916	2,287,714	139,980,556
FVOCI - without recycle to profit or loss	722,426	-	205,158	927,584
Derivative financial instruments (Assets)	73,286	24,200,104	376	24,273,766
	116,830,167	82,802,632	11,121,359	210,754,158
Term borrowings	-	619,857	-	619,857
Derivative financial instruments (Liabilities)	103,193	28,267,427	24,465	28,395,085
	103,193	28,887,284	24,465	29,014,942

The following table shows the transfer between the hierarchies:

	Level 1 AED'000	**Level 2 AED'000**	**Level 3 AED'000**	**Total AED'000**
As at 30 September 2022 (unaudited)				
Investment at fair value through profit or loss				
Transfer from 1 to 2	**-**	**30,385**	**-**	**30,385**
Transfer from 2 to 1	**837**	**-**	**-**	**837**
Transfer from 2 to 3	**-**	**-**	**1,396**	**1,396**
Non-trading investments				
Transfer from 1 to 2	**-**	**7,675,294**	**-**	**7,675,294**
Transfer from 2 to 1	**1,144,395**	**-**	**-**	**1,144,395**
Transfer from 2 to 3	**-**	**-**	**96,660**	**96,660**
Transfer from 3 to 2	**-**	**538,340**	**-**	**538,340**
	1,145,232	**8,244,019**	**98,056**	**9,487,307**
As at 31 December 2021 (audited)				
Investment at fair value through profit or loss				
Transfer from 1 to 2	-	90,262	-	90,262
Transfer from 2 to 1	17,795	-	-	17,795
Transfer from 3 to 1	4,736	-	-	4,736
Transfer from 3 to 2	-	534	-	534
Non-trading investments				
Transfer from 1 to 2	-	4,907,176	-	4,907,176
Transfer from 2 to 1	774,414	-	-	774,414
Transfer from 3 to 1	37,820	-	-	37,820
Transfer from 3 to 2	-	707,758	-	707,758
	834,765	5,705,730	-	6,540,495

Notes to the condensed consolidated interim financial statements *(continued)*

31 Financial assets and liabilities *(continued)*

Financial instruments measured at fair value - hierarchy *(continued)*

The Management considers that the carrying amounts of financial assets and liabilities recognised in the condensed consolidated interim financial statements do not materially differ from their fair values.

The valuation techniques and inputs used in these condensed consolidated interim financial statements are same as those prescribed in the Group as at and for the year ended 31 December 2021.

32 Business combination

On 28 April 2021, the Bank acquired 100% of the share capital of Bank Audi SAE (Egypt), Bank Audi's subsidiary in Egypt. The acquisition was effected through transfer of cash from the acquiror to the acquiree. The acquisition was effected to accelerate FAB Group's expansion in high-potential market. It will significantly increase the size, scale and experience of FAB Egypt, adding greater depth and reach to customers both locally and globally.

a. Purchase consideration

The purchase consideration paid for the acquisition of 100% shares is USD 600 million (equivalent to AED 2,203 million).

b. Integration related costs

The Group incurred integration-related costs of AED 92 million for the nine month period ended 30 September 2022(30 September 2021 AED 77 million), relating to consultant and external legal fees and due diligence costs. These costs have been included in 'General, administrative and other operating expenses' in the condensed consolidated interim statement of profit or loss.

c. Valuation approach and methodologies:

Customer relationship

The income approach has been used in estimating the fair value of Bank Audi SAE (Egypt)'s customer relationships as an intangible asset as at the transaction date. The income approach values the customer relationship as the present value of the future earnings that it is expected to generate over its remaining useful economic life. Under the income approach, the multi-period excess earnings method ("MEEM") has been utilized which is a commonly accepted method for valuing customer relationships.

Core deposits

The income approach, favourable source of funds method has been used to arrive at the value for core deposits. This is calculated based on the present value of the difference between the cost of existing core deposits and cost of obtaining most favourable market alternative funds which represents the marginal funding that the bank has access to, over the determined useful life of the core deposit base.

Loan Portfolio

In determining the valuation of loans, Expected Cash Flow approach, Present value approach and Recovery rate approach have been used.

Real estate assets

Real estate assets have been valued using the Market approach and the Income approach. The valuation analysis was conducted in accordance with RICS Valuation – Professional Standards published by the Royal Institute of Chartered Surveyors (the "Red Book") and complies with International Valuation Standards (IVS).

Customer deposits

Customer deposits were valued using the income approach where origination rates on deposits were used to discount future cash flows associated with them based on the weighted average interest rate.

Notes to the condensed consolidated interim financial statements *(continued)*

32 Business Combination *(continued)*

c. Identifiable assets acquired and liabilities assumed

The following table summarises the fair value of assets acquired and liabilities considered on the date of acquisition.

	28 Apr 2021 AED'000
Assets	
Cash and balances with central banks	**5,550,876**
Due from banks and financial institutions	**3,244,467**
Investment at fair value through profit or loss	**7,398**
Reverse repurchase agreement	**490,843**
Derivative financial instruments	**30**
Loans, advances and Islamic financing	**6,435,801**
Non-trading investments	**6,718,486**
Other assets	**364,712**
Intangible assets	**114,340**
Property and equipment	**590,928**
Total assets	**23,517,881**
Liabilities	
Due to banks and financial institutions	**79,567**
Derivative financial instruments	**3**
Repurchase agreement	**3,355**
Customer accounts and other deposits	**21,375,961**
Other liabilities	**1,177,985**
Total liabilities	**22,636,871**
Net assets as at acquisition date attributable to its common equity holders	**881,010**

As a result of the purchase price allocation (PPA) exercise, the 2021 comparative information has been restated to reflect the adjustments to the assumed carrying amounts, as stated above.

d. Goodwill and Intangibles

During the period, the purchase price allocation exercise was completed and, consequently, carrying value of assets acquired and liabilities assumed as at acquisition date have been adjusted from the provisional amounts to the fair value. As a result, there was an increase in goodwill by AED 980 million over the provisional amount. The impact arising as a result of PPA exercise was adjusted to the amount of goodwill as below:

	AED'000
Total consideration	**2,203,800**
Bank Audi SAE (Egypt) net assets value	**(881,010)**
Goodwill	**1,322,790**

32 Business Combination *(continued)*

d. Goodwill and Intangibles *(continued)*

The Group has completed a comprehensive purchase price allocation within twelve months from the acquisition date and following items are covered:

- valuation of intangible assets.
- valuation of properties and equipment.
- valuation adjustments on other recognized financial and non-financial assets and liabilities; and
- initial adjustments to fair value of loans, advances and Islamic financing.

The goodwill is attributable mainly to the synergies expected to be achieved from acquisition in high potential market.

e. Impact on Group's results

If the acquisition had occurred on 1 January 2021, management estimate that consolidated operating income and profit for the period would be AED 693 million and AED 174 million respectively for the period between 1 January 2021 to 30 September 2021. In determining these amounts, the Group has assumed that the fair value adjustments, determined provisionally, that arose on the date of acquisition would have been the same if the acquisition had occurred on 1 January 2021.

33 Comparative figures

Certain comparative figures have been reclassified where appropriate to conform to the presentation adopted in these condensed consolidated interim financial statements.